**AGA KHAN UNIVERSITY EXAMINATION BOARD**

**SECONDARY SCHOOL CERTIFICATE**

**CLASS IX**

**ANNUAL EXAMINATIONS (THEORY) 2023**

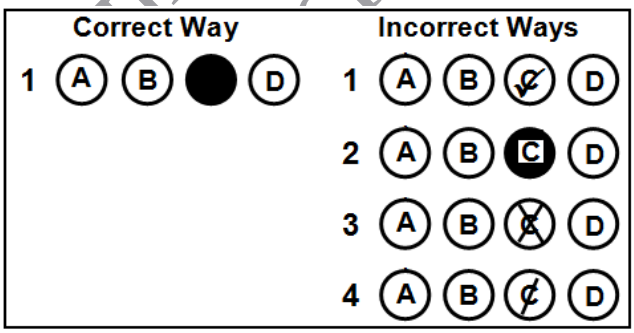
**Business Studies Paper I**

**Time: 1 hour 10 minutes Marks: 40**

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**INSTRUCTIONS**

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.




**Candidate's Signature**

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Which of the following is an example of a non-economic activity?

   A. A nurse treating a patient
   B. A cobbler mending a shoe
   C. A student collecting stamps
   D. An engineer working on the site map

2. Maheen established her own software house, instead of investing in her sister's firm. She became successful in getting a tender of developing software for a chain of departmental stores across Pakistan. She purchased a brand new laptop to develop the software.

   The type of business started by Maheen is classified as a

   A. partnership.
   B. sole proprietorship.
   C. public limited company.
   D. private limited company.

3. Pakistan Railways is still running trains on routes to far-fetched areas which is not cost effective because there are not enough passengers for these routes.

   With reference to the type of business organisations, Pakistan Railways will be classified as

   A. public.
   B. private.
   C. multi-nationals.
   D. semi-governmental.

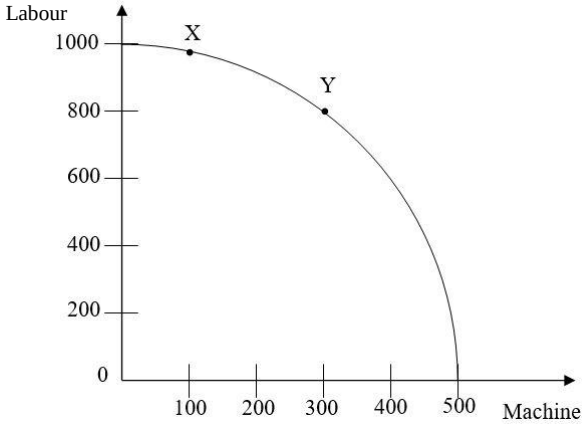
4. A famous food chain of Karachi sells its franchise to an individual in Hyderabad.

   This franchising will benefit the foodchain by

   A. expanding its market.
   B. increasing competition.
   C. selling different variety of products.
   D. owning an additional property in Hyderabad.

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5. Review the given graph.




If an individual shifts his selection from X to Y, then his opportunity cost from the given graph would be

A. 180 units of labour.
B. 200 units of labour.
C. 980 units of labour.
D. 1000 units of labour.

6. Asif brings all the factors of production together and takes risks. In return, he earns a reward of Rs 20,000.

On the basis of factors of production, Asif will be classified as

A. customer.
B. labour.
C. capital.
D. entrepreneur.

7. In case of sole ownership, the liability of the owner is limited to the

A. amount invested by the owner.
B. amount of their share in the business.
C. total amount of assets of the business.
D. total amount of assets of the business plus all their personal assets.

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8. The type of business activity depicted in the given image is



A. primary.
B. secondary.
C. tertiary.
D. quaternary.

9. The stakeholder that is interested in the increased profits of the business is

A. customers.
B. trade union.
C. community.
D. government.

10. Redar Traders is a departmental store. The floor manager of the store is team centred. The manager encourages creativity, idea sharing and engages the team in the decision making process.

The leadership style of the manager classifies him/ her as a/ an

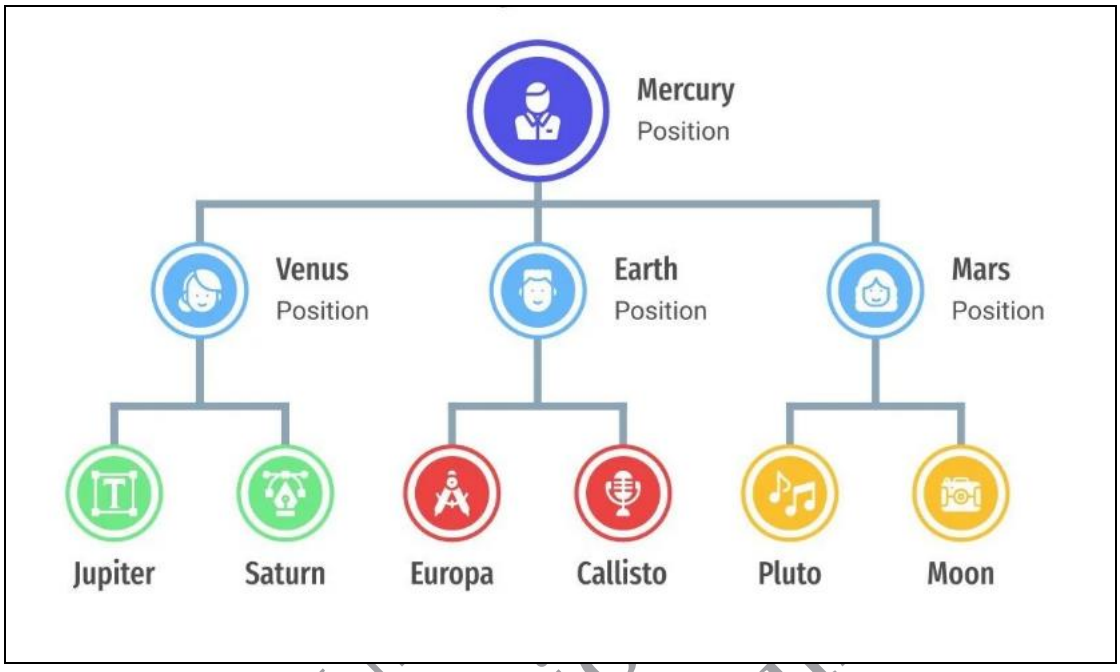
A. autocratic leader.
B. dictatorial leader.
C. democratic leader.
D. lassize-faire leader.

11. With reference to Henry Foyal, all of the following are the functions of management EXCEPT for

A. coordinating.
B. organising.
C. planning.
D. supporting.

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12. The given organogram depicts a narrow chain of command.




The GREATEST merit of the chain of command in the given organogram is the

A the reporting hierarchy path which is straight but long-routed.
B. the autocratic and uni-directional style of management.
C. multiple levels in organisation's hierarchy.
D. effective communication

13. Read the following features:

- It is based on the manager-subordinate ratio.
- It mainly depends on the nature of the customer and industry.
- It depicts the number of subordinates a manager is responsible for controlling.

The given features are of

A. span of control.
B. office departments.
C. chain of command.
D. organisational seating plan.

14. The response of the receiver that reflects the finalisation of effective communication is termed as

A. barriers.
B. medium.
C. message.
D. feedback.

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15. The accountant of Faris Limited wants to share the first draft of annual financial report to the board of directors.

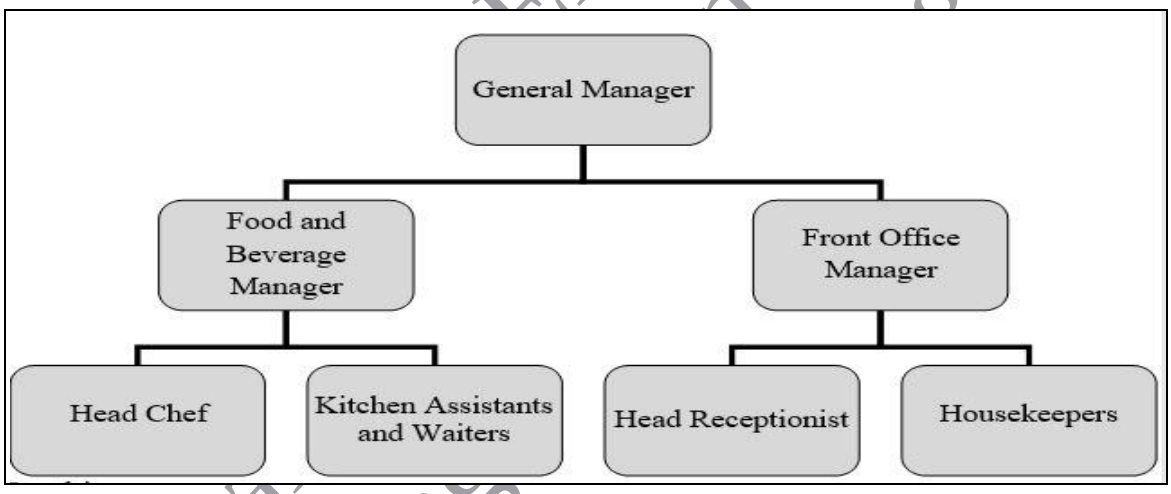
The IDEAL mode of sharing the mentioned report would be a/ an

A. email.
B. video conference.
C. PowerPoint presentation.
D. one-to-one telephonic call.

16. All of the following are considered as democratic leaders EXCEPT

A. Yahya Khan.
B. Nelson Mandela.
C. Tayyab Erdogan.
D. Jawaharlal Nehru.

17. Following is the organisational chart of a Delta Hotel:




In terms of numbers, what will be the span of control and levels of chain of command for Delta Hotel?

| | Span of Control | Chain of Command |
|---|---|---|
| A | 2 | 2 |
| B | 2 | 3 |
| C | 3 | 6 |
| D | 4 | 3 |

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18. Areej's web security business has expanded; she has assigned some tasks to her new employees. This has enabled Areej to find more time to do the administrative work which she considers should be left to her. This helped the organisation to make progress and the employees' satisfaction level was also increased.

The given action of Areej can be categorised as

A. delegation of responsibilities.
B. enhancement of job specification.
C. management of chains of commands.
D. decentralisation of management structures.

19. Aleem is an entrepreneur and owns a restaurant. He needs finance for opening another outlet in a different locality.

The MOST suitable and easiest way to arrange the finance for this expansion would be to

A. issue shares.
B. offer franchise.
C. issue debentures.
D. use personal fundings.

20. Resources that are owned and controlled by the business and provide benefit to the business for more than one year.

The given description best defines a/ an

A. owner's equity.
B. non-current asset.
C. long term liability.
D. merchandise inventory.

21. The following items have been taken from the books of Hadi Traders as on December 31, 2018.

| **Particulars** | **Amount (Rs)** |
|---|---|
| Cost of sales | 165,000 |
| Gross profit | 90,000 |
| Net profit | 23,000 |
| Operating profit | 68,000 |

With reference to the given data, the account title of the income statement that will be reflected in the statement of affairs (balance sheet) of Hadi Traders will be

A. net profit.
B. gross profit.
C. cost of sales.
D. operating profit.

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22. Anila bought a machine to be used in her factory. She incurred the following expenditures at the time of purchase.

I. Paid foundation charges
II. Paid three years' fire insurance
III. Paid transportation charges

The capital expenditures paid by Anila would include

A. II only.
B. III only.
C. I and II.
D. I and III.

23. The money spent by a business on acquiring or maintaining fixed assets such as land, buildings and equipment in a business.

The expense/ expenditure described in the given description is

A. direct expense.
B. indirect expense.
C. capital expenditure.
D. revenue expenditure.

24. The board of directors of Xtra Limited have decided to discontinue the business operations.

The accounting principle that abides the directors to disclose this information in the final accounts is

A. materiality.
B. cost concept.
C. going concern.
D. money measurement.

25. Following details have been extracted from the accounting details of the business as on December 31, 2020.

| **Account Title** | **Amount (Rs)** |
|---|---|
| Sales revenue | 900,000 |
| Purchases | 500,000 |
| Inventory on January 01, 2020 | 190,000 |
| Inventory on December 31, 2020 | 175,000 |

The account title that will be shown in the statement of financial position (balance sheet) of the business would be

A. purchases.
B. sales revenue.
C. inventory on January 01, 2020.
D. inventory on December 31, 2020.

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26. The given information depicts the financial performance of two businesses:

| Particulars | Business A (Rs) | Business B (Rs) |
|---|---|---|
| Sales Revenue | 60,000 | 70,000 |
| Cost of sales | 40,000 | 50,000 |
| Operating expenses | 50,000 | 40,000 |
| Other income | 50,000 | 60,000 |

With reference to the given table, what is the net income of both businesses?

| | Business A (Rs) | Business B (Rs) |
|---|---|---|
| A | (30,000) | (20,000) |
| B | (80,000) | (80,000) |
| C | 20,000 | 40,000 |
| D | 120,000 | 120,000 |

27. The financial information of a small business is given below.

| Particulars | Amount (Rs) |
|---|---|
| Sales revenue | 100,000 |
| Operating expenses | 45,000 |
| Gross profit | 62,000 |

Based on the given information, the amount of cost of sales would be

A. Rs 17,000
B. Rs 38,000
C. Rs 55,000
D. Rs 107,000

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28. Rashid Shoe Company makes shoes in Pakistan. The following table shows the production levels of a year.

| Particulars | Year 2022 |
|---|---|
| Shoes made | Rs 280,000 |
| Number of employees | 125 Labours |

What will be the productivity per worker?

A. 2.5
B. 4.5
C. 224
D. 2240

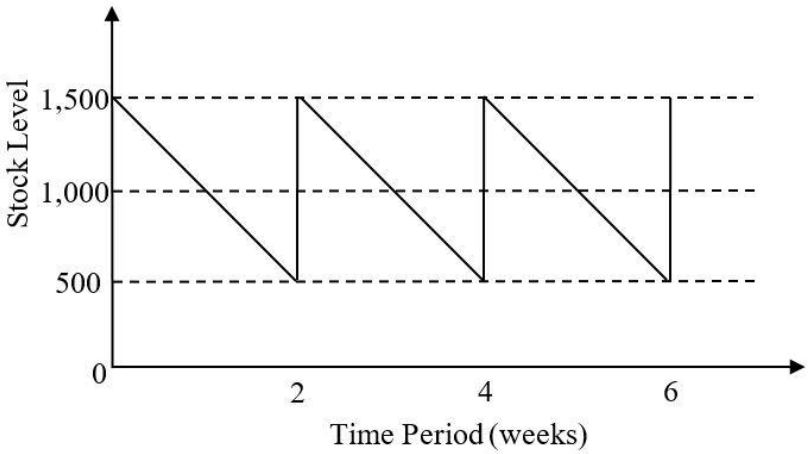
29. Improvement in the technique of production will normally increase all of the following EXCEPT

A. production.
B. profitability.
C. average cost.
D. labour redundancy.

30. The technique of production that is MOSTLY used by job order production is

A. just in time.
B. cell production.
C. lean production.
D. Kaizen production.

31. Based on the given graph, the lead time in days would be




A. 7 days.
B. 14 days.
C. 28 days.
D. 42 days.

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32. Aslam is a large-scale manufacturer. He produces soaps and shampoos for everyday use. He enjoys the benefit of economies of scale.

Based on the given information, the method of production adopted by Aslam is

A. flow production.
B. batch production.
C. job order production.
D. just in time production.

33. The MAJOR advantage that sea transport has over air transport is that

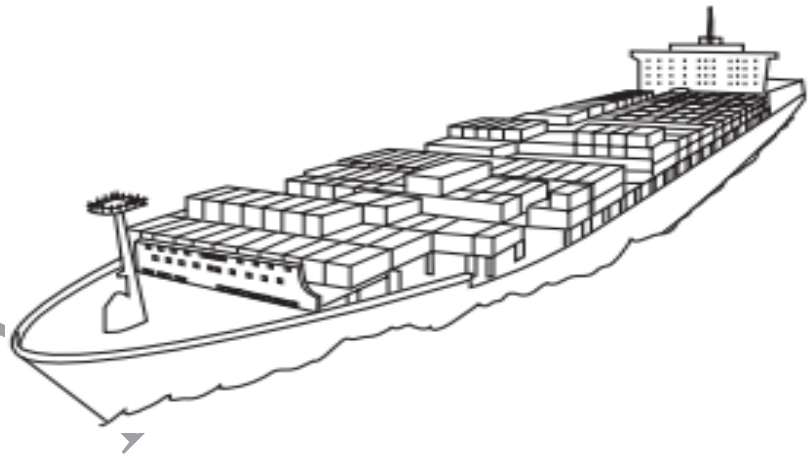
A. it provides safer routes.
B. goods can be delivered quickly.
C. goods can be transported in bulk.
D. there is a lesser chance of damage of goods.

34. Marketing is lifeline and it decides the faith of the business.

The BASIC aim of marketing is to increase

A. productivity.
B. quantity sales.
C. quality assurance.
D. profitability of the business.

35. The given picture shows a mode of transportation.



The given mode of transportation is GENERALLY used for the transportation of

A. chocolates.
B. vegetables.
C. automobiles.
D. life-saving medicines.

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36. Ameen purchases spices in bulk from farmers and sells them to food stores and industry for value addition.

The type of market in which Ameen operates is a/ an

A. mass market.
B. niche market.
C. resource market.
D. intermediate market.

37. During manufacturing of goods in bulk, the business focuses only on the quantity of the goods.

With reference to the given situation, the approach opted by the business is identified as

A. sales approach.
B. marketing approach.
C. consumer approach.
D. production approach.

38. Review the given image.




With reference to product life cycle, the given product is in the phase of

A. introduction.
B. growth.
C. maturity.
D. decline.

39. The CORRECT description of market segmentation is to

A. increase sells by marketing a product.
B. achieve economies of scale by producing goods in bulk.
C. produce better quality products as compared to the competitors.
D. divide large heterogeneous markets into small homogenous markets.

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40. Atlas Sports Industry manufactures sports safety equipment. They charge higher prices than any of their competitors as the product have unique features which improves sports safety.

The pricing strategy opted by Atlas sports is

A. penetration.
B. skimming.
C. competitive.
D. promotional.

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END OF PAPER

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